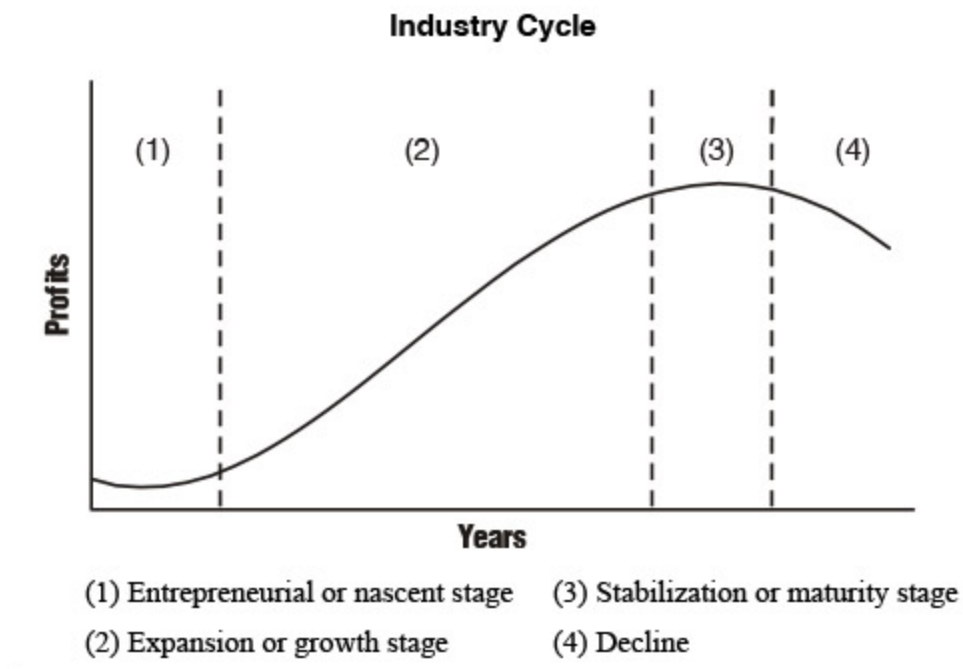


Cycle

The first step in industry analysis is to determine the cycle it is in, or the stage of maturity of the industry. All industries evolve through the following stages:

1. Entrepreneurial, sunrise or nascent stage,
2. Expansion or growth stage,
3. Stabilization, stagnation or maturity stage, and
4. Decline or sunset stage.



The life cycle of an industry can be illustrated in an inverted “S” curve as illustrated above.

The Entrepreneurial or Nascent Stage

At the first stage, the industry is new and it can take some time for it to properly establish itself. In these early days, it may actually make losses. At this time there may also not be many companies in the industry. It must be noted that the first 5 to 10 years are the most critical period. At this time,